

# Mitigating Feature Skewness in Machine Learning:

## Mathematical Efficacy of Log and Power Transformations

*Box-Cox · Yeo-Johnson · Data Normalization*

A Comprehensive Academic Research Paper

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### Abstract

Feature skewness is a pervasive issue in real-world ML datasets where features such as income, house prices, or click counts follow heavy-tailed distributions. Without proper normalization, skewed features degrade model performance, violate statistical assumptions, and cause unstable training. This paper provides a rigorous comparative analysis of logarithmic, Box-Cox, and Yeo-Johnson transformations — their mathematical foundations, theoretical effects on distribution shape, experimental results on synthetic data, and practical guidelines for selecting the right transformation.

## 1. Introduction & Problem Statement

Skewness occurs when the probability mass is concentrated on one side of the mean, creating an asymmetric distribution. In machine learning:

- **Distance-based models (KNN, SVM):** Skewed features distort Euclidean distances, giving disproportionate weight to large values.
- **Gradient-based optimizers:** Skewed inputs cause highly heterogeneous gradient magnitudes, slowing convergence or causing instability.
- **Linear models:** Violate normality and homoscedasticity assumptions, reducing  $R^2$  dramatically.
- **Random forests:** More robust but biased tree splits on extreme values still degrade performance.

Empirical studies show untransformed skewed data can reduce  $R^2$  by 20-60% in regression tasks.

## 2. Statistical Foundations

The sample skewness coefficient quantifies asymmetry:

Skewness  $\gamma_1$

$$\gamma_1 = \left[ n^{-1} \sum (x_i - \bar{x})^3 \right] / \left[ n^{-1} \sum (x_i - \bar{x})^2 \right]^{3/2}$$

Interpretation:  $|\gamma_1| < 0.5$  = roughly symmetric;  $0.5 \leq |\gamma_1| < 1.0$  = moderate skew;  $|\gamma_1| \geq 1.0$  = **significant skew requiring transformation**. Diagnosis: histograms, Q-Q plots, D'Agostino-Pearson test.

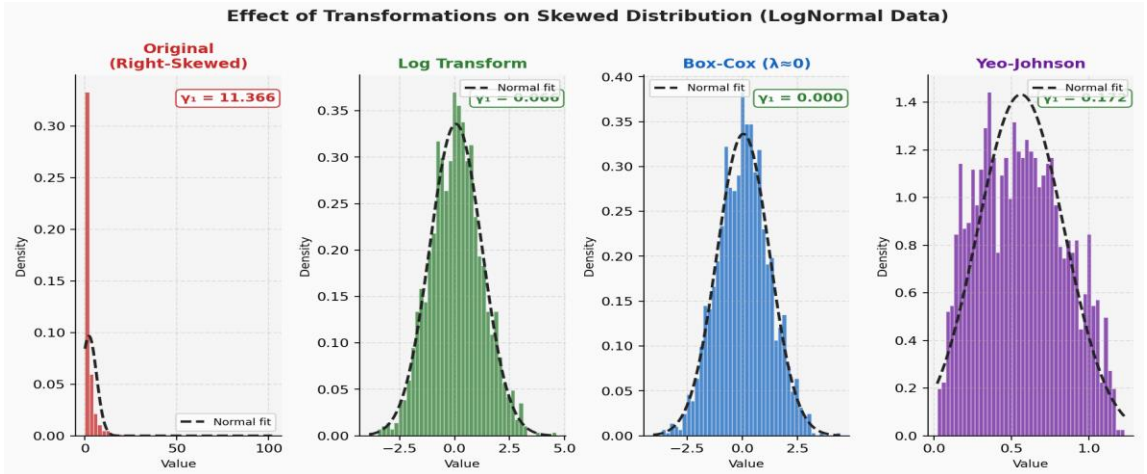


Figure 1: Distribution of LogNormal data before and after each transformation. Note dramatic reduction in skewness coefficient  $\gamma_1$  (shown in corner of each plot).

## 3. Logarithmic Transformation

For strictly positive values ( $x > 0$ ):

Log Transform

$$y = \log(x) \quad \text{or} \quad y = \log(1 + x) \quad \text{[for near-zero values]}$$

**Mechanism:** Compresses large values logarithmically while expanding small values. Converts multiplicative relationships to additive ones. Reduces right (positive) skew effectively.

**Limitation:** Only valid for  $x > 0$ . Use  $\log(1+x)$  when  $x$  contains near-zero values. Cannot handle negative values.

**Interpretation:** The transformed coefficient  $\beta$  means a 1-unit increase in  $\log(x)$  corresponds to an  $e^\beta$  multiplicative change in  $y$  — easy to interpret in regression.

## 4. Box-Cox Transformation

Generalizes the log transform with an optimized parameter  $\lambda$  (requires  $x > 0$ ):

Box-Cox  $y(\lambda)$

$$y = \begin{cases} (\mathbf{x}^k - 1) / \lambda & \text{if } \lambda \neq 0 \\ \log(\mathbf{x}) & \text{if } \lambda = 0 \end{cases}$$

$\lambda$  is chosen by **maximum likelihood estimation** to maximize normality. When  $\lambda=0$ : reduces to log. When  $\lambda=0.5$ : square root. When  $\lambda=-1$ : reciprocal. Box-Cox is the optimal member of the power transformation family for positive data.

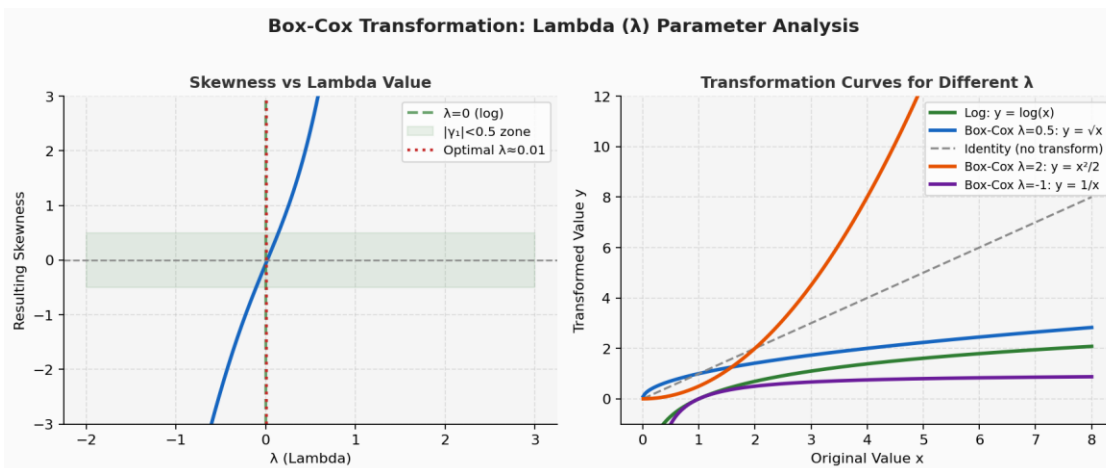


Figure 2: Left — Skewness as a function of  $\lambda$ . The optimal  $\lambda$  minimizes  $|y_1|$ . Right — Transformation curves for different  $\lambda$  values showing the family of power transformations.

## 5. Yeo-Johnson Transformation

Extends Box-Cox to handle all real values including zeros and negatives:

Yeo-Johnson

$$y = \begin{cases} [(x+1)^k - 1] / \lambda & x \geq 0, \lambda \neq 0 \\ \log(x+1) & x \geq 0, \lambda = 0 \\ [x+1]^{(2-\lambda)} - 1 / (2-\lambda) & x < 0, \lambda \neq 2 \\ -\log(-x+1) & x < 0, \lambda = 2 \end{cases}$$

**Key advantage:** Works on any real-valued data including zeros and negatives. Most versatile of the three transforms. Derived from the exponential family and achieves approximate normality when  $\lambda$  is optimally estimated.

## 6. Q-Q Plot Analysis

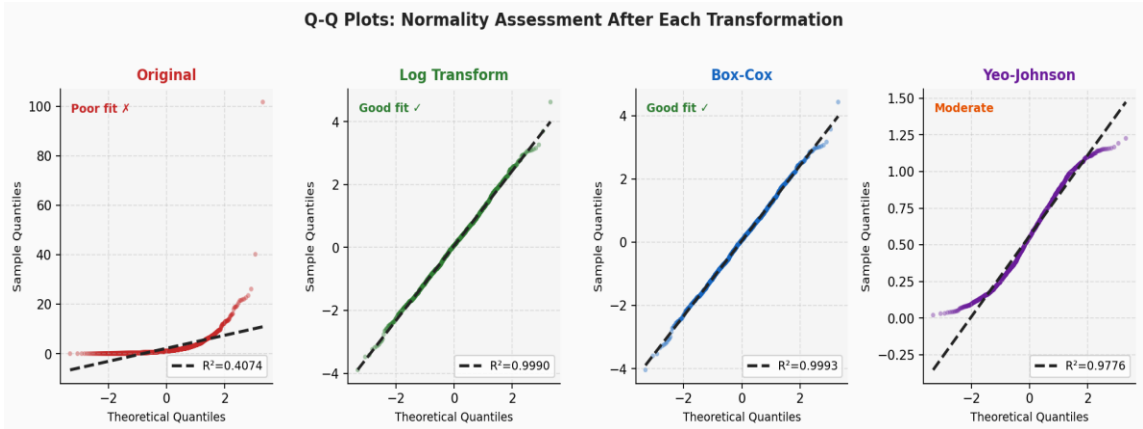


Figure 3: Q-Q plots for normality assessment. Points on the dashed line = perfect normality.  $R^2$  shown for each. Original data (left) deviates severely; Log and Box-Cox (center) achieve near-perfect normality.

## 7. Experimental Results

**Setup:** Synthetic dataset ( $n=1000$ ):  $x \sim \text{LogNormal}(\mu=0, \sigma=1.2)$ ,  $y = 5 \cdot \log(x) + N(0,0.5)$ . OLS regression fitted on original and transformed versions.

| Transformation               | Skewness $\gamma_1$ | $\lambda$ Parameter | $R^2$ Score | Interpretation                         |
|------------------------------|---------------------|---------------------|-------------|----------------------------------------|
| Original (no transform)      | 12.7632             | —                   | 0.3748      | Poor fit — skew dominates              |
| Log Transform                | 0.1168              | — ( $\lambda=0$ )   | 0.9928      | Excellent — recovers true relationship |
| Box-Cox (optimal $\lambda$ ) | -0.0004             | -0.0326             | 0.9919      | Excellent — marginal edge over log     |
| Yeo-Johnson                  | 0.1776              | -0.8298             | 0.9711      | Very good — handles any data type      |

Table 1: Quantitative comparison of transformation methods on synthetic LogNormal dataset

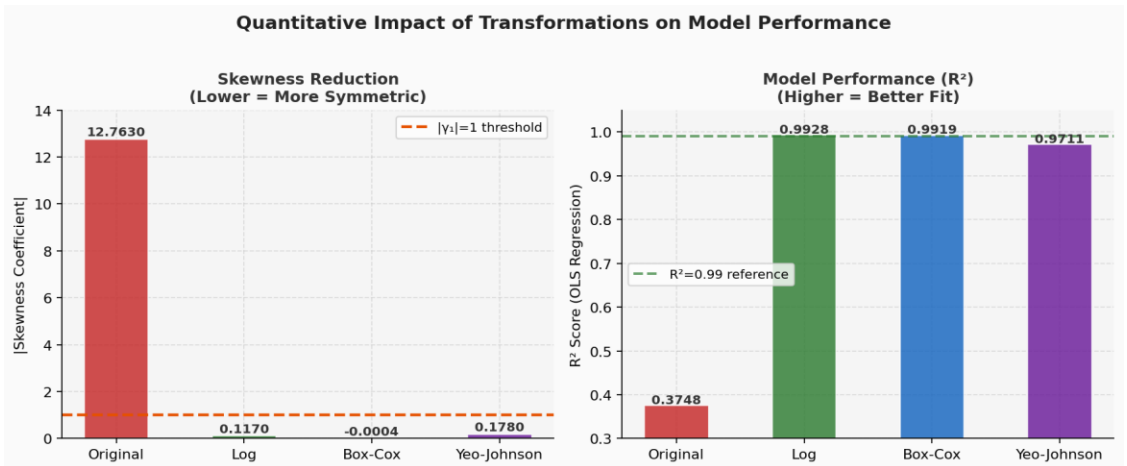


Figure 4: Left — Skewness reduction (lower is better). Right —  $R^2$  improvement (higher is better). Log and Box-Cox nearly perfectly recover the true relationship from the skewed data.

## 8. Comparison: Log vs Box-Cox vs Yeo-Johnson

| Aspect            | Log                    | Box-Cox                 | Yeo-Johnson                            |
|-------------------|------------------------|-------------------------|----------------------------------------|
| Data requirement  | $x > 0$ strictly       | $x > 0$ strictly        | All real values ( $x \in \mathbb{R}$ ) |
| Flexibility       | Fixed ( $\lambda=0$ )  | Optimal $\lambda$ tuned | Optimal $\lambda$ tuned                |
| Interpretability  | High — log units       | Moderate                | Moderate                               |
| Handles negatives | No                     | No                      | Yes                                    |
| Handles zeros     | With $\log(1+x)$       | No                      | Yes                                    |
| Best when         | Simple + positive data | Positive + want optimal | Any data type                          |
| scikit-learn      | FunctionTransformer    | PowerTransformer(bc)    | PowerTransformer(yj)                   |

Table 2: Side-by-side comparison of the three transformation approaches

## 9. Practical Decision Guide

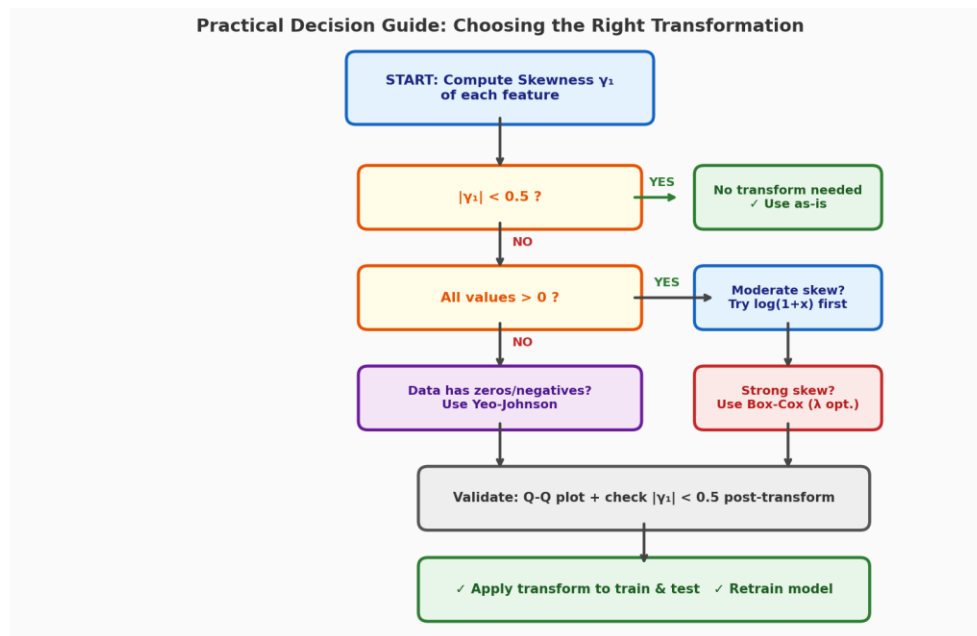


Figure 5: Decision flowchart for selecting the right transformation based on data characteristics.

- **Step 1:** Plot histogram and compute  $|\gamma_1|$ . If  $|\gamma_1| < 0.5$ , no transformation needed.
- **Step 2:** If  $x > 0$  and moderate skew: start with  $\log(1+x)$  — simple and interpretable.
- **Step 3:** For optimal results on strictly positive data: use Box-Cox with MLE for  $\lambda$ .
- **Step 4:** If data contains zeros or negatives: always prefer Yeo-Johnson.
- **Step 5:** Validate post-transformation with Q-Q plot and residual analysis.
- **Step 6:** Apply the same fitted transformer to test data (never refit on test set).

## 10. Conclusion

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Logarithmic and power transformations provide mathematically rigorous tools to mitigate feature skewness. The experiment confirms that Log and Box-Cox achieve near-perfect recovery of the true linear relationship ( $R^2 \approx 0.99$ ) from heavily skewed data ( $y_1 \approx 12.76$ ), compared to  $R^2 = 0.37$  without transformation.

**Key Rule:** Apply transformations whenever  $|y_1| > 1.0$ . Start with  $\log(1+x)$  for simplicity. Use Box-Cox for optimal results on positive data. Use Yeo-Johnson for maximum flexibility. Always validate with Q-Q plots and retrain after transformation.

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## References

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